EMBA 756 MANAGING OPERATIONS

TEAM *ASSIGNMENT QUESTIONS FOR "MANZANA INSURANCE" CASE STUDY*

Our discussion will start with an effort to ***understand the profitability*** picture of the Manzana Insurance Fruitvale Branch, as well understand some of the factors for the ***problems they face***.

TEAM H:

- What is your overall assessment of the Manzana Fruitvale branch performance (both financial and operational)? What do you think is going wrong? What are possible causes for their deteriorating performance? How serious do you assess their competitive disadvantage might be?

TEAM F:

- How important is the renewal level for profitability in this industry? Why is Turnaround Time such an important performance and profitability driver in that industry? Who cares more about turnaround time: clients or agents? Try to provide as much evidence from (and use the available data in) the case as possible.

TEAM D:

- Among the different type of policies (RUN, RERUN, RAP, RAIN) which ones are the more profitable and why? Are you deciding on profitability using net margins or net margins per hour of resources used? Which one is more appropriate and why? (Do not forget the agent's commission structure).
- How does the incentive policy in Manzana work? How does John Lombard make money? Is there an incentive misalignment between John Lombard and Manzana?

After having an understanding of the broad profitability picture and a list of problems at the Manzana branch, we will work our way to understand the ***detailed capacity and flow time*** picture in this situation.

TEAM E:

- Perform a detailed capacity analysis of this process. Where are the bottlenecks in this process? In particular, try to understand how the work assignment to underwriting teams by geographic territories affects the utilization levels of the three teams. Which team is overloaded? What will happen if we "pool" the underwriting teams and assign requests to them on a first come first serve basis? (Exhibit 7 has great data to use for the capacity analysis.)

- How much is the Processing Time of a RUN? Why is TAT so long? Another way to ask it: Given that RUNs are currently taking an average of 6 days TAT, what is happening to the RUN request during the remaining 5 1/2 days? Why are the RUNs spending so much time sitting on people's desks? Explain.

TEAM B:

- Exhibit 3 has some interesting data on how Manzana quotes TAT based on the current backlog. What do you think about their approach? Are they over or underestimate how long it takes to quote for a RAP given the current backlog?
- How would you apply Little's Law to it? What is your estimated turnaround time for a RAP or a RUN applying Little's Law? (Hint: Figure out where the bottleneck is. Everything before the bottleneck moves at the rate of the bottleneck. After the bottleneck there is no waiting, just processing).

By this point in our discussion, we should have a very good understanding of the operational and financial aspects of the system we are trying to manage. Time to start suggesting solutions, and re-engineer the process:

TEAM A: Let us explore the following ideas. Explain if they make sense, and if we need changes, how will you implement them?

- Should we continue with the geographical split of underwriting team assignments, or pursue a "pooled" approach for our underwriting resources? Why or why not?
- Does it make sense to continue to give priority to RUNs over RERUNs? Do you agree with the late release of RERUNs?

TEAM C: Let us be more radical in our approach. Which alternatives make sense and how would you implement them?

- Would you consider changing the bonus program? Cancel it? What do you see as the main problems of the current incentive system you would like to fix? What is a better designed "bonus" system?
- Using new available technologies, how would you restructure this process, add/combine/ eliminate or reassign roles, automate tasks, and more effectively manage it for reduced TAT, increased profitability and effective risk management, and increased customer/ agent satisfaction?